

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET D — ASSERTION & REASONING SPECIAL****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-D-09

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET D - Assertion & Reasoning Special):

1. The question paper comprises **25 Assertion-Reasoning Questions** of **1 mark each**.
2. Each question consists of two statements — **Assertion (A)** and **Reason (R)**.
3. Select the correct option from the following 4 standardized choices:
 - **(A)** Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
 - **(B)** Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 - **(C)** Assertion (A) is true but Reason (R) is false.
 - **(D)** Assertion (A) is false but Reason (R) is true.
4. **Section A (Q1 – Q10):** Core Concepts & Theoretical Principles.
5. **Section B (Q11 – Q18):** Evidentiary Proofs, Case Inferences & Historical/Geographical Mechanisms.
6. **Section C (Q19 – Q25):** Advanced Conceptual Nuances & Institutional/Analytical Complexities.
7. All questions are compulsory. There is no negative marking.
8. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

STANDARD DIRECTIONS FOR ALL 25 ASSERTION & REASONING QUESTIONS:

- (A)** Both (A) and (R) are true and (R) is the correct explanation of (A).
(B) Both (A) and (R) are true but (R) is NOT the correct explanation of (A).
(C) Assertion (A) is true but Reason (R) is false.
(D) Assertion (A) is false but Reason (R) is true.

SECTION A: CORE THEORETICAL PRINCIPLES (Q.1 TO Q.10) [10 MARKS]**Q.1**

Assertion (A): According to the Law of Demand, there is an inverse relationship between the price of a commodity and its quantity demanded, *ceteris paribus*.

Reason (R): When the price of a commodity falls, consumers experience an increase in purchasing power (income effect) and substitute it for costlier alternatives (substitution effect).

- (A)** Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). **(B)** Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false. **(D)** Assertion (A) is false but Reason (R) is true.

Q.2

Assertion (A): A market demand curve slopes upward from left to right.

Reason (R): Higher market prices incentivize consumers to purchase significantly larger quantities of a good.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.3

Assertion (A): According to the Law of Supply, a producer offers more quantity for sale at a higher price than at a lower price, other things being equal.

Reason (R): Higher commodity prices increase the profit margin per unit, motivating sellers to expand output and attracting new producers into the market.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.4

Assertion (A): Market equilibrium occurs at the price where quantity demanded exactly equals quantity supplied.

Reason (R): At the equilibrium price, there is neither an unsold market surplus nor an unsatisfied market shortage, clearing the market.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.5

Assertion (A): If the prevailing market price is higher than the equilibrium price, an excess demand (shortage) develops in the market.

Reason (R): At a price above equilibrium, quantity supplied exceeds quantity demanded, creating an excess supply (surplus) that forces sellers to cut prices.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.6

Assertion (A): When a severe drought destroys major onion crops, the market equilibrium price of onions rises sharply.

Reason (R): A crop failure causes the supply curve of onions to shift to the left, creating excess demand at the original price and bidding up market prices.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.7

Assertion (A): A change in the own price of a good leads to a shift in its demand curve.

Reason (R): A change in the good's own price causes a movement along the same demand curve (expansion or contraction), while non-price factors cause a shift.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.8

Assertion (A): An increase in consumer income leads to a rightward shift in the demand curve for normal goods.

Reason (R): With higher income, consumers are able and willing to purchase larger quantities of normal goods at every given price level.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.9

Assertion (A): Tea and coffee are classified as substitute goods in economic analysis.

Reason (R): If the price of tea rises substantially, consumers switch to coffee, causing the demand for coffee to increase and its demand curve to shift rightward.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.10

Assertion (A): Cars and petrol are classified as complementary goods.

Reason (R): A sharp rise in the price of petrol increases consumer operational costs, causing a decline in the demand for petrol-driven cars.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

SECTION B: EVIDENTIARY PROOFS & MECHANISMS (Q.11 TO Q.18) [8 MARKS]**Q.11**

Assertion (A): Essential commodities like common salt and life-saving medicines have highly price-inelastic demand.

Reason (R): Consumers must consume fixed, necessary quantities of these items regardless of price fluctuations because they have no close substitutes.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.12

Assertion (A): Luxury commodities such as designer jewellery and sports cars tend to have highly price-elastic demand.

Reason (R): Purchases of luxury items can be easily postponed or avoided when their prices rise, as they do not constitute basic physical survival needs.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.13

Assertion (A): Technological improvements in manufacturing reduce the per-unit production cost and shift the market supply curve to the right.

Reason (R): Lower production costs allow firms to supply larger quantities of output at every existing market price, leading to a lower equilibrium price.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.14

Assertion (A): Imposition of a per-unit excise tax on manufacturers shifts the supply curve vertically upwards to the left.

Reason (R): Taxes increase the effective marginal cost of production, forcing sellers to demand a higher price to supply the same quantity.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.15

Assertion (A): A government-mandated price ceiling is set below the free-market equilibrium price.

Reason (R): Price ceilings are imposed on essential goods (such as staple food grains or medicines) to make them affordable to low-income vulnerable citizens.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.16

Assertion (A): A legally enforced price ceiling set below equilibrium eliminates all shortages and black markets.

Reason (R): At an artificially low price ceiling, quantity demanded vastly exceeds quantity supplied, creating chronic shortages that necessitate rationing.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.17

Assertion (A): A Minimum Support Price (MSP) for agricultural crops acts as a price floor set above the free-market equilibrium price.

Reason (R): MSP guarantees farmers a fair remunerative price that covers their comprehensive cost of cultivation and protects them from distress sales during harvest gluts.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.18

Assertion (A): When the government fixes an MSP above equilibrium price, it creates an unsold agricultural surplus in the open market.

Reason (R): To sustain the MSP and prevent market price collapse, public procurement agencies like the Food Corporation of India (FCI) purchase the surplus grain for buffer stocks.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

SECTION C: ADVANCED NUANCES & INSTITUTIONAL COMPLEXITIES (Q.19 TO Q.25) [7 MARKS]**Q.19**

Assertion (A): Giffen goods violate the general Law of Demand by exhibiting a positive relationship between price and quantity demanded.

Reason (R): For highly inferior staple food grains consumed by impoverished households, the negative income effect of a price rise overwhelms the substitution effect.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.20

Assertion (A): Veblen goods (conspicuous consumption goods) are demanded in larger quantities when their prices become extremely low and cheap.

Reason (R): Veblen goods derive their social value from their exclusivity and high price status; if they become cheap, their snob appeal diminishes.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.21

Assertion (A): A perfectly inelastic demand curve is represented graphically as a vertical straight line parallel to the vertical price axis.

Reason (R): With perfectly inelastic demand, quantity demanded remains completely unchanged ($\Delta Q_d = 0$) regardless of how high or low the price moves.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.22

Assertion (A): A simultaneous increase in both demand and supply always causes the equilibrium price to increase.

Reason (R): Whether the equilibrium price rises, falls, or remains constant depends on the relative magnitude of the shift in demand compared to the shift in supply.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.23

Assertion (A): Speculative hoarding by traders during anticipated shortages worsens the price rise in the market.

Reason (R): Hoarding artificially withdraws available supplies from current circulation, shifting the immediate supply curve further leftward and accelerating inflation.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.24

Assertion (A): The Public Distribution System (PDS) in India operates fair price shops to supply subsidized essential food grains to ration-card holders.

Reason (R): PDS buffers vulnerable households against volatile open-market inflationary spikes and ensures national food security.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.25

Assertion (A): In a free competitive market economy, the price mechanism automatically allocates scarce resources without a central planning ministry.

Reason (R): Prices act as market signals: high prices signal consumer demand and profitability, guiding producers to allocate more resources to those sectors.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET D)

01	☐ A ☐ B ☐ C ☐ D	02	☐ A ☐ B ☐ C ☐ D	03	☐ A ☐ B ☐ C ☐ D	04	☐ A ☐ B ☐ C ☐ D	05	☐ A ☐ B ☐ C ☐ D
06	☐ A ☐ B ☐ C ☐ D	07	☐ A ☐ B ☐ C ☐ D	08	☐ A ☐ B ☐ C ☐ D	09	☐ A ☐ B ☐ C ☐ D	10	☐ A ☐ B ☐ C ☐ D
11	☐ A ☐ B ☐ C ☐ D	12	☐ A ☐ B ☐ C ☐ D	13	☐ A ☐ B ☐ C ☐ D	14	☐ A ☐ B ☐ C ☐ D	15	☐ A ☐ B ☐ C ☐ D
16	☐ A ☐ B ☐ C ☐ D	17	☐ A ☐ B ☐ C ☐ D	18	☐ A ☐ B ☐ C ☐ D	19	☐ A ☐ B ☐ C ☐ D	20	☐ A ☐ B ☐ C ☐ D
21	☐ A ☐ B ☐ C ☐ D	22	☐ A ☐ B ☐ C ☐ D	23	☐ A ☐ B ☐ C ☐ D	24	☐ A ☐ B ☐ C ☐ D	25	☐ A ☐ B ☐ C ☐ D

Total Questions Attempted:
 / 25
 Marks Obtained:
 / 25
 Evaluator's Signature:

OFFICIAL ANSWER KEY & HISTORICAL/GEOGRAPHICAL CAUSAL EXPLANATIONS (SET D)

Q. No.	Correct	Causal Rationale & Conceptual Explanation
Q.1	(A)	Assertion is true. Reason is true and provides the dual microeconomic mechanisms (income and substitution effects) underlying the downward-sloping demand curve.
Q.2	(D)	Assertion is false: The demand curve slopes downward to the right. Reason is false: Consumers buy less at higher prices, not more.
Q.3	(A)	Assertion is true. Reason is true and explains the profit-seeking motive that creates an upward-sloping supply curve.
Q.4	(A)	Assertion is true. Reason is true and explains the market-clearing property of competitive equilibrium.
Q.5	(D)	Assertion is false: High prices cause a surplus (excess supply), not a shortage. Reason is true: Surplus forces prices downward toward equilibrium.
Q.6	(A)	Assertion is true. Reason is true and explains how a leftward supply shock elevates equilibrium price.
Q.7	(D)	Assertion is false: Price changes cause movements along the curve, not shifts. Reason is true: Shifts are caused by non-price determinants like income or tastes.
Q.8	(A)	Assertion is true. Reason is true and explains the positive income effect for normal commodities.
Q.9	(A)	Assertion is true. Reason is true and explains the positive cross-price elasticity between substitute commodities.
Q.10	(A)	Assertion is true. Reason is true and explains the inverse cross-price relationship between joint-demand complementary goods.
Q.11	(A)	Assertion is true. Reason is true and explains why necessities exhibit low price responsiveness ($\$E_d < 1\$$).
Q.12	(A)	Assertion is true. Reason is true and explains why optional luxury goods show high price elasticity ($\$E_d > 1\$$).
Q.13	(A)	Assertion is true. Reason is true and outlines the beneficial supply-side effects of technological innovation.
Q.14	(A)	Assertion is true. Reason is true and details how commodity taxation shifts the market supply curve.
Q.15	(A)	Assertion is true. Reason is true and articulates the social welfare rationale behind statutory maximum price caps.
Q.16	(D)	Assertion is false: Price ceilings generate shortages and illegal black marketing. Reason is true: Artificial price suppression induces excess demand.
Q.17	(A)	Assertion is true. Reason is true and explains the agricultural income stabilization objective of statutory price floors.
Q.18	(A)	Assertion is true. Reason is true and explains the operational necessity of government buffer-stock procurement under MSP policy.
Q.19	(A)	Assertion is true. Reason is true and provides Sir Robert Giffen's microeconomic explanation for upward-sloping demand among the poor.
Q.20	(D)	Assertion is false: Demand for Veblen goods falls if they become cheap. Reason is true: High price is precisely what signals prestige and exclusivity.
Q.21	(A)	Assertion is true. Reason is true and defines the graphical geometry of zero price elasticity.
Q.22	(D)	Assertion is false: Equilibrium price direction is indeterminate without knowing which shift is larger. Reason is true: Relative magnitudes dictate the final price impact.
Q.23	(A)	Assertion is true. Reason is true and explains how speculative inventory withholding creates artificial scarcity.

Q. No.	Correct	Causal Rationale & Conceptual Explanation
Q.24	(A)	Assertion is true. Reason is true and outlines the social safety-net mandate of India's targeted Public Distribution System.
Q.25	(A)	Assertion is true. Reason is true and describes Adam Smith's concept of the 'invisible hand' coordinated through competitive market pricing.